MEN'S JOURNAL

American Airlines CEO Does Not Hold Back on Delta's Controversial Move

Kevin Harrish
July 25, 2025 • 2 min read

DAL ☆

Trade DAL on Coinbase Trading disclosure

Earlier this week, Delta Air Lines President Glen William Hauenstein told reporters that the company was moving forward with expanding the use of AI in its pricing. However, American Airlines CEO Robert Isom is not a fan of that plan.

This week, Hauenstein told reporters that about 3 percent of the airline's domestic ticket prices are already set using AI, and the company hopes to expand that to 20 percent by the end of the year.

In his comments, Hauenstein also spoke highly of Delta's partnership with Fetcherr, a tech company that claims to be able to "set the perfect price every time" using AI.

"The convergence of AI, machine learning and real-time data processing completely transforms how airlines approach pricing strategy," a Fetcherr post on dynamic pricing in aviation reads. "Gone are the days of rigid pricing rules and manual adjustments. Welcome to the era of true dynamic pricing, where artificial intelligence can process millions of data points instantly to set the perfect price every time. Welcome to the modern age of AI dynamic pricing."

Some lawmakers have already expressed concerns about the move, citing concerns about privacy and "pricing discrimination." It sounds like Isom isn't a fan of the move, either.

"I don't think it's appropriate," Isom said during American Airlines' earnings call on Thursday, according to *The Points Guy*.

LOS ANGELES, CALIFORNIA - MARCH 30: An American Airlines Airbus A321 taxis at Los Angeles International Airport on March 30, 2025 in Los Angeles, California. (Photo by Kevin Carter/Getty Images)
Kevin Carter/Getty Images
· Kevin Carter/Getty Images

Isom went on to make it very clear that this is not something that American Airlines will pursue in the future.

"I quite frankly think that some of the things I've heard are just not good," Isom said.

"Consumers need to know that they can trust American, ok? This is not about bait and switch. This is not about tricking," Isom added. "And certainly, from American, it's not something we will do."

In the statement, Delta denied any plans to use personal information to target customers with individualized offers and claimed that the new AI technology is simply streamlining its process for setting its fares.

"There is no fare product Delta has ever used, is testing, or plans to use that targets customers with individualized offers based on personal information or otherwise," the airline told *Newsweek* in a statement late Monday. "A variety of market forces drive the dynamic pricing model that's been used in the global industry for decades, with new tech simply streamlining this process. Delta always complies with regulations around pricing and disclosures."

Clearly, Isom does not think AI should be used in pricing air fares.

American Airlines CEO Does Not Hold Back on Delta's Controversial Move first appeared on Men's Journal on Jul 25, 2025

Terms and Privacy Policy Your Privacy Choices

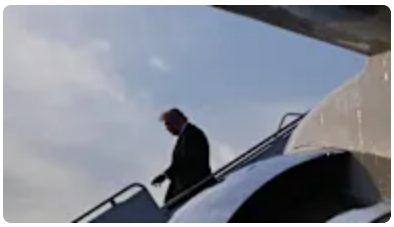
Recommended Stories

Coinbase CEO makes critical move before earnings

TheStreet • 11h ago

107-year-old beloved burger chain closes locations

TheStreet • 21h ago



Eric Trump unveils new logo as his father's brand takes over U.S. Government

TheStreet • 15h ago

Verizon CEO doubles down on removing free offers for customers

TheStreet • 16h ago

Alarm bells raised over fintech firm’s bank purchase

TheStreet • 1d ago

Bank of America resets Apple stock price target after earnings

TheStreet • 1d ago

yahoo!finance

Copyright © 2026 Yahoo.
All rights reserved.

Trending Topics

Dow Jones

S&P 500

DAX Index

Nvidia

Tesla

DJT

Tariffs

Explore Further

Mortgages

Credit Cards

Sectors

Crypto Heatmap

Financial News

About

Data Disclaimer

Help

Feedback

Sitemap

Licensing

What's New

About Our Ads

Premium Plans

Terms and Privacy Policy

Your Privacy Choices